RISK COMMITTEE BRIEFING

Institutional Credit & Portfolio Assessment

Geopolitical Risk to Portfolio Risk: West Asia Escalation & Indian FMCG Stress Test

Quantifying commodity shock transmission, corporate margin compression, solvency buffers, and portfolio hedging strategies during the 2025–2026 Israel–Iran Conflict.

SECTOR UNDER STUDY
Indian FMCG (HUL, ITC, Nestlé, Britannia, Dabur)

EVENT WINDOW
2-Mar-2026 to 17-Sep-2026

PREPARED FOR
Investment Board & Credit Risk Committee

EXECUTIVE SUMMARY

Key Findings & Strategic Overview

West Asia Crisis Transmission & Portfolio Implications

⚠ BREAKDOWN OF DEFENSIVE THESIS

The Nifty FMCG Index fell **10.20%** over the 6.5-month event window. The standard assumption that consumer staples are geopolitical safe havens failed as dual commodity shocks coincided with discount rate expansion.

📈 WIDE INTRA-SECTOR DISPERSION

A **31.3% return spread** opened up between Nestlé India (**+7.10%**, Jensen's alpha +29.05%) and Dabur India (**-24.24%**, alpha -24.28%), proving stock selection matters significantly more than sector allocation.

⏱ DELAYED MARGIN EARNINGS HIT

Q1 FY27 results confirmed sharp PAT margin drops in HUL (15.4%) and ITC (15.8%). Equity valuations de-rated months in advance of reported earnings due to forward cost inflation expectations.

CORE TAKEAWAY FOR PORTFOLIO MANAGERS

"FMCG is not geopolitics-proof. Dual cost pressures (crude packaging + palm oil) combined with rising G-Sec yields hit margins and equity P/E multiples simultaneously. Solvency buffers vary drastically—Britannia holds 0.42x D/E while ITC and HUL operate virtually debt-free."

— Risk Committee Report Synthesis

Nifty FMCG Max Drawdown	-13.41%
India Oil Import Vulnerability	85–90%
Required Management Action	Rotate & Hedge Immediately

GEOPOLITICAL RISK ASSESSMENT

Shock Transmission Mechanism & Risk Map

West Asia Conflict Flow to Indian Equity & Debt Markets

GEOPOLITICAL RISK TRANSMISSION PROCESS FLOW



Key Affected Variables

- **Commodities:** Brent Crude, Palm Oil, Gold
- **Currencies:** USD/INR (Depreciation)
- **Trade Routes:** Strait of Hormuz, Red Sea
- **Rates:** India 10-Yr G-Sec (+40 bps)

Duration Horizons

- **Short-Term (0-3m):** Event volatility (daily std dev 1.2–1.6%)
- **Medium-Term (3-12m):** Sustained crude/palm price bands
- **Structural (1+ yrs):** Supply re-routing & SPR accumulation

Parallel Hedge Channel

Safe-Haven Flow: Risk aversion elevates Gold demand. Gold provides a dual hedge: absorbing global geopolitical uncertainty and offsetting INR depreciation against USD.

INDUSTRY IMPACT ANALYSIS

FMCG Sector Structural Impact

Categorization of Winners, Neutrals, and Losers

Dual Input Squeeze Mechanism

1. **Crude Packaging Link:** Crude oil spikes directly inflate plastic/packaging derivatives and freight logistics.
2. **Palm Oil Diversion:** High crude oil prices drive biofuel mandates (e.g. Indonesia B50), diverting palm oil from food processing into fuel, creating a secondary cost shock.

Valuation De-rating Mechanics

Imported inflation triggers hawkish RBI stance → **10-Yr G-Sec yields rise** → Equity discount rates expand.

FMCG stocks trading at high P/E multiples suffer severe valuation compression long before quarterly margin losses are officially reported.

Peer Group Classification Matrix (Event Window Data)

Company	Classification	Event Return	Jensen's Alpha	D/E Ratio	ICR	Primary Drivers & Vulnerability
Nestlé India	WINNER	**+7.10%**	+29.05%	0.03x	31.2x	Low palm exposure (~10-15%), strong pricing power in premium categories
ITC Ltd.	NEUTRAL	**-15.47%**	-11.72%	0.00x	85.0x	Debt-free cushion; cigarettes/hotels offset paper/agri crude cost pressure
HUL	NEUTRAL / MILD LOSER	**-16.31%**	-4.96%	0.02x	42.5x	High market beta (1.26); resilient balance sheet but direct palm oil exposure
Britannia	LOSER	**-16.40%**	-17.67%	0.42x	16.8x	High raw material sensitivity (30-35% palm/packaging) + weakest interest cover
Dabur India	WORST HIT LOSER	**-24.24%**	-24.28%	0.12x	18.5x	Deepest drawdown (-26.80%); West Asia business exposure + margin pressure

COMPANY PERFORMANCE

Stock Return Trajectory & Volatility Shift

Performance Evolution over the 6.5-Month Event Window

Stock Price Returns Post-Escalation (2-Mar-2026 to 17-Sep-2026)

Entity	Event Price (₹)	+1 Month	+3 Months	+6 Months	Latest Price (₹)	Total Return	Ann. Volatility
HUL	₹2,320.60	-9.1%	-10.2%	-15.2%	₹1,942.20	**-16.31%**	24.1% (+9 pts)
ITC	₹314.90	-7.4%	-11.2%	-18.9%	₹266.20	**-15.47%**	19.7% (+7 pts)
Nestlé India	₹1,279.70	-7.7%	+8.8%	+16.9%	₹1,370.60	**+7.10%**	22.6% (+9 pts)
Britannia	₹5,959.00	-8.1%	-13.5%	-11.9%	₹4,982.00	**-16.40%**	20.6% (+5 pts)
Dabur India	₹507.60	-18.3%	-16.4%	-24.9%	₹384.60	**-24.24%**	25.9% (+10 pts)
Nifty FMCG Index	**50,751.65**	**-9.1%**	**-4.9%**	**-9.3%**	**45,572.70**	**-10.20%**	**15.7% (+5 pts)**

Volatility Expansion

Annualized volatility spiked across all names by **+5 to +10 percentage points**, with Dabur registering the highest volatility (25.9%).

Nestlé Outperformance

Nestlé absorbed initial panic (-7.7% in Month 1) before rebounding to **+16.9% by Month 6**, driven by pricing power in Maggi & Nescafe.

RISK RATIOS & EARNINGS ANALYSIS

Risk-Adjusted Metrics & PAT Margin Lag

Evaluating Sharpe, Sortino, Alpha, and Quarterly Profit Trends

Risk-Adjusted Performance Ratios (Rf = 6.5%)

Company	Beta	Alpha (Ann.)	Sharpe	Sortino	Max Drawdown
HUL	1.26	-4.96%	-1.53	-2.05	-18.65%
ITC	0.96	-11.72%	-1.84	-2.39	-19.21%
Nestlé	0.79	**+29.05%**	**0.40**	**0.62**	**-11.56%**
Britannia	0.80	-17.67%	-1.84	-2.29	-17.31%
Dabur	1.22	-24.28%	-2.14	-2.75	**-26.80%**

PAT Margin Trend (Pre vs Post Event Lag)

Company	Pre-Event Avg	Q4 FY26	Q1 FY27 (Post)
HUL	16.7%	19.9%	**15.4%** ↓
ITC	27.6%	20.7%	**15.8%** ↓
Nestlé	15.6%	20.2%	**15.2%** ~
Britannia	12.7%	14.9%	**15.2%** ↑
Dabur	14.8%	11.9%	**17.6%**

Earnings Realization Read-Through

Margin compression hit reported financials with a **1-quarter lag (Q1 FY27)**. HUL and ITC saw sharp margin declines as inventory hedges expired. Conversely, Britannia's margins held up via price hikes/shrinkflation, yet its stock fell -16.4%, showing the market priced in balance sheet risks (higher debt/leverage) ahead of reported earnings.

STRESS TESTING & SCENARIO ANALYSIS

Sensitivity Model: +20% Crude Oil Shock

Estimated Financial Impact on FMCG Financial Parameters

Scenario Assumption Parameters: Brent Crude **+20%** | Palm Oil **+8–10%** | INR Depreciation **-2% vs USD**

Company	Revenue Impact	EBITDA Margin Impact	PAT Margin Impact	Op Cash Flow (OCF)	Stock Valuation Impact
HUL	Flat to +1%	-150 to -200 bps	-120 to -170 bps	-5% to -8%	-6% to -8%
ITC	+1% to +2%	-100 to -150 bps	-80 to -120 bps	-3% to -5%	-4% to -6%
Nestlé India	+1% to +2%	**-80 to -120 bps**	**-60 to -90 bps**	**-2% to -4%**	**-3% to -5%**
Britannia	Flat	**-200 to -250 bps**	**-170 to -210 bps**	-7% to -10%	-8% to -10%
Dabur India	Flat to -1%	-150 to -200 bps	-150 to -200 bps	-6% to -9%	**-10% to -13%**

Top-Line Cushioning via Shrinkflation

Revenue remains flat-to-positive across most companies due to pack-size reductions and selective price hikes.

Amplified Valuation Damage

Britannia and Dabur suffer the largest valuation drops (-8% to -13%) due to higher leverage and weaker interest coverage buffers.

PORTFOLIO RISK STRATEGY

Risk Mitigation & Strategic Rebalancing

Evaluating Strategy Adequacy & Actionable Steps

Is Passive Long-Only FMCG Strategy Sufficient?

NO — INSUFFICIENT

An unweighted FMCG holding delivered an average return of **-11%**. Negative Sharpe and Sortino ratios confirm the sector failed as a passive risk shelter. Active stock selection and multi-asset hedging are mandatory.

COMMODITY RISK

Hedge 3-6 month palm/crude requirements via MCX futures; rotate equity weight to Nestlé.

CURRENCY RISK

Maintain Gold/USD asset sleeve; execute USD/INR FX forwards for import payables.

DURATION RISK

Shorten bond portfolio duration to 1-2 years; cut exposure to high P/E long-duration equity.

EQUITY TAIL RISK

Purchase Nifty FMCG index protective put options to cap downside without full liquidation.

Target Portfolio Allocation Overlay (₹100-Crore Model Portfolio)

NESTLÉ	ITC	HUL	BRITANNIA	DABUR	GOLD / ETFS	ENERGY EQUITY	LIQUID / CASH
10% (↑)	8% (=)	6% (↓)	2% (↓)	1% (↓)	11% (↑)	7% (↑)	45%

BOARDROOM CRISIS PROTOCOL — BREAKING ESCALATION

EMERGENCY SLIDE

CRUDE OIL SPURT	INR DEPRECIATION	10Y G-SEC YIELD
+25%	**-3.0%**	**+40 bps**

Immediate Risky Positions

- **Dabur & Britannia:** Weak balance sheets compound losses
- **Long Duration Bonds:** Immediate MTM capital loss
- **Unhedged Payables:** USD import liabilities hit by INR fall

Emergency Adjustments

- **SELL/REDUCE:** Dabur, Britannia, Long G-Secs
- **INCREASE:** Gold (to 13-15%), Upstream Energy, Liquid Funds
- **HEDGE:** FX Forwards (USD/INR), Crude Futures, Nifty Puts

Bond Portfolio Hit

40 bps yield increase causes **~-2.4% MTM loss** on 6-yr duration bonds (-0.4% if shortened to 1-2 yrs).

Equity Portfolio Hit

Systematic Beta impact: Dabur/HUL (-12% to -16%), ITC (-9%), Nestlé/Britannia (-8%) before alpha adjustments.

Gold Action

Increase Gold to 13-15%. Benefits directly from risk aversion & dollar appreciation vs INR.

CREDIT RISK ANALYSIS

Solvency Buffers & Debt Profiles

Evaluating Corporate Capacity to Absorb Prolonged Cost Shocks

Company	Debt / Equity	Interest Coverage Ratio (ICR)	Debt Service Coverage (DSCR)	Debt Profile & Balance Sheet Quality
Hindustan Unilever	0.02x	42.5x	>35.0x	Virtually debt-free; massive cash surplus provides pristine solvency cushion.
ITC Ltd.	0.00x	**85.0x**	>70.0x	Zero long-term debt; highest interest coverage ratio across peer group.
Nestlé India	0.03x	31.2x	>25.0x	Minimal short-term lease debt; outstanding capital efficiency and cash flow.
Dabur India	0.12x	18.5x	>12.0x	Low working capital debt footprint; moderate interest coverage cushion.
Britannia Industries	**0.42x**	**16.8x**	>10.5x	Highest leverage in peer group; commercial paper usage increases refinancing risk.

Credit Risk Analyst Evaluation

ITC and HUL possess bulletproof balance sheets capable of absorbing multi-year margin contractions without credit rating stress. **Britannia's** leverage (D/E 0.42x) and ICR (16.8x) make it vulnerable to borrowing cost spikes if 10-Yr G-Sec yields stay elevated.

Refinancing & Cost-of-Capital Read-Through

As bond yields expand by 40 bps, companies relying on short-term Commercial Paper (CP) will experience immediate interest expense hikes, squeezing net margins further.

APPENDIX & REFERENCE DATA

Methodology, & Data Sources

Analytical Rigor and Dataset Lineage

Primary Data Sources

FRM_FMCG.xlsx: Daily price/return series (2-Mar-2026 to 17-Sep-2026), 8-quarter Sales/PAT financials, solvency ratios.

Ministry of Finance, MER: Oil import bill sensitivity & CPI inflation pass-through models.

ICICI Direct / Selling Commentary: Palm oil & packaging cost exposure data.

End of Risk Committee Deck

This presentation provides a stress-testing framework for institutional investment decisions. All metrics are calculated based on actual market price histories and corporate financial disclosures.